

Multiple Choice (10 marks)

1. Jim Murphy wants to compute the simple interest he will have to pay on a loan of \$193 at 6% for 38 days. He decides to use the 6%, 60-day method. How much is the interest?
 - (a) \$1.11
 - (b) \$1.50
 - (c) \$1.93
 - (d) \$0.58
 - (e) \$0.96
2. What do you call a style of leadership that takes account of others' views, opinions and ideas?
 - (a) Task-oriented
 - (b) Servant
 - (c) Transactional
 - (d) Laissez-faire
 - (e) Bureaucratic
3. Pine and Gilmore (1999) derive four distinct realms of experience, based on two dimensions. What are these dimensions?
 - (a) Customer participation and environmental acquisition.
 - (b) Environmental acquisition and environmental relationship.
 - (c) Customer retention and environmental relationship.
 - (d) Customer participation and environmental relationship.
 - (e) Customer acquisition and customer retention.
4. The primary objective of team-based selling is to
 - (a) equitably manage the sales bonus pool
 - (b) increase the competitiveness within the sales team
 - (c) create multiple points of contact between the customer and the company
 - (d) distribute the work involved in managing an account
 - (e) reduce the workload of individual salespeople

5. Herbie's Service Station bought a water pump from his supplier that has a list price of 40. His trade discount is 16. Find the net price.
- (a) \$56
 - (b) \$26
 - (c) \$16
 - (d) \$18
 - (e) \$24

True / False (10 marks)

Answer True or False

- 6. True or False: A discount of 35% would result in a net price of \$195 for the watch, which is less than the actual net price.
- 7. True or False: The trade discount on the book is \$2.95, which is the selling price at the bookstore.
- 8. True or False: The conversion of 678 cm results in approximately 22 feet, 316 liters converts to about 575.12 pints, and 50 kg equals 110 pounds.
- 9. True or False: The difference in cost between a 3-year policy and 3 one-year policies for 22,000 coverage is 7.85.
- 10. True or False: The rate of return on the 500 loan, if repaid with 800 after five years, is 13.86%.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze a scenario where a house valued at 10,000 is insured for 7,000 with an 80% coinsurance clause and suffers \$8,500 in fire damage. Calculate the insurance payout and discuss the financial implications for the homeowner.
- 12. Discuss the mechanisms of lateral communication in an organization, analyzing its effectiveness and the role of official meetings in facilitating information sharing among peers.

End of Paper